# Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

### 2.17.2 Financial liabilities

#### 2.17.2.1 Initial recognition and measurement

Financial liabilities are recognised when the Group becomes a party to the contractual provisions of the instrument. All financial liabilities are recognised initially at fair value and in the case of borrowings net of directly attributable transaction costs.

#### 2.17.2.2 Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

#### 2.17.2.2.1 Financial liabilities at amortised cost (Borrowings)

This is the category most relevant to the Group. After initial recognition, financial liabilities are subsequently measured at amortised cost using the EIR method. Gains and losses are recognised in the consolidated statement of profit and loss when the liabilities are derecognised as well as through the EIR amortisation process. Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortisation is included as finance costs in the consolidated statement of profit and loss.

#### 2.17.2.3 Derecognition

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as the derecognition of the original liability and the recognition of a new liability. The difference in the respective carrying amounts is recognised in the consolidated statement of profit and loss.

### 2.17.3 Derivative financial instruments and hedge accounting

The Group uses derivative financial instruments, such as forward currency contracts, to manage its foreign currency risks. These derivative instruments are designated as cash flow, fair value or net investment hedges and are entered into for period consistent with currency. Such derivative financial instruments are initially recognised at fair value on the date on which a derivative contract is entered into and are subsequently re-measured at fair value. Derivatives are carried as financial assets when the fair value is positive and as financial liabilities when the fair value is negative. Any gains or losses arising from changes in the fair value of derivatives are taken directly to the consolidated statement of profit and loss.

#### 2.17.3.1 Cash flow hedges

The effective portion of the gain or loss on the hedging instrument is recognised in OCI in the cash flow hedge reserve, while any ineffective portion is recognised immediately in the consolidated statement of profit or loss.

The Group uses forward currency contracts as hedges of its exposure to foreign currency risk in forecast transactions and firm commitments. The ineffective portion relating to foreign currency contracts is recognised in the consolidated statement of profit and loss.

Amounts recognised as OCI are transferred to the consolidated statement of profit and loss when the hedged transaction affects profit and loss, i.e. when the hedged financial income or financial expense is recognised or when a forecast sale occurs. When the hedged item is the cost of a non-financial asset or non-financial liability, the amounts recognised as OCI are transferred to the initial carrying amount of the non-financial asset or liability.

If the hedging instrument expires or is sold, terminated or exercised without replacement or rollover (as part of the hedging strategy), or if its designation as a hedge is revoked, or when the hedge no longer meets the criteria for hedge accounting, any cumulative gain or loss previously recognised in OCI remains separately in equity until the forecast transaction occurs or the foreign currency firm commitment is met.

### 2.17.4 Fair value measurement

The Group measures derivatives instruments like forward contracts at fair value at each Balance Sheet date.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs

All assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- **Level 1:** Quoted (unadjusted) market prices in active markets for identical assets or liabilities.
- **Level 2:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- **Level 3:** Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognised in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

### 2.17.5 Offsetting of financial instruments

Financial assets and financial liabilities can be offset and the net amount is reported in the Balance Sheet if there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, to realise the assets and settle the liabilities simultaneously.

## 2.18 Cash and cash equivalents

Cash and cash equivalent in the Balance Sheet comprises cash at banks and on hand. For the purpose of cash flow statement, Cash & Cash equivalent consists of cash & short term deposits as defined above. The Cash flow statement is prepared using indirect method.

## 2.19 Dividend distribution to equity shareholders

The Group recognises a liability to pay dividend to equity shareholders of the Group when the distribution is authorised, and the distribution is no longer at the discretion of the Group. As per the corporate laws in India, a distribution is authorised when it is approved by the shareholders.

## 2.20 Foreign currencies

The Group's financial statements are presented in ₹, which is also the Group's functional currency. Transactions in foreign currencies are initially recorded by the Group at ₹ spot rate at the date the transaction first qualifies for recognition. Monetary assets and liabilities denominated in foreign currencies are translated at the functional currency spot rates of exchange at the reporting date. Exchange differences arising on settlement or translation of monetary items are recognised in the consolidated statement of profit and loss.

Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rates at the dates of the initial transactions. Non-monetary items measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value is determined. The gain or loss arising on translation of non-monetary items measured at fair value is treated in line with the recognition of the gain or loss on the change in fair value of the item (i.e., translation differences on items whose fair value gain or loss is recognised in OCI or profit and loss are also recognised in OCI or the consolidated statement of profit and loss, respectively).

## 2.21 Earnings Per Share ('EPS')

Basic EPS amounts are calculated by dividing the profit for the year attributable to equity holders of the Group by the weighted average number of equity shares outstanding during the year.

# Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

Diluted EPS amounts are calculated by dividing the profit attributable to equity holders of the Group after adjusting impact of dilution shares by the weighted average number of equity shares outstanding during the year plus the weighted average number of equity shares that would be issued on conversion of all the dilutive potential equity shares into equity shares.

### 2.22 Segment Reporting

The Executive Management Committee evaluates the Group's performance and allocates the resources based on an analysis of various performance indicators by business segments.

The Group prepares its segment information in conformity with the accounting policies adopted for preparing and presenting the financial statements of the Group as a whole.

### 2.23 Contingent liabilities

A contingent liability is a possible obligation that arises from past events whose existence will be confirmed by the occurrence or non—occurrence of one or more uncertain future events not wholly within the control of the Group or a present obligation that is not recognised because it is not probable that an outflow of resources will be required to settle the obligation. A contingent liability also arises in extremely rare cases where there is a liability that cannot be recognised because it cannot be measured reliably. The Group does not recognise a contingent liability but discloses its existence in the consolidated financial statements

### 2.24 Treasury shares

The Group has created an Employee Benefit Trust ('Trust') for providing share-based payment to its employees. The Group uses trust as a vehicle for distributing shares to employees under the employee remuneration schemes. The trust buys shares of the Group from the market, for giving shares to employees on exercise of equity settled ESOP. Share options exercised during the reporting period are satisfied with treasury shares. The Group treats trust as its extension and shares held by trust are treated as treasury shares.

Own equity instruments that are reacquired (treasury shares) are recognised at cost and deducted from equity. No gain or loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Group's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognised in Capital reserve.

### 2.25 Share-based payments

Employees (including senior executives) of the Group receive remuneration in the form of share-based payments, whereby employees render services as consideration for equity instruments (equity-settled transactions).

The cost of equity-settled transactions is determined by the fair value at the date when the grant is made using an appropriate valuation model. Further details are given in note 49.

That cost is recognised, together with a corresponding increase in share-based payment (SBP) reserves in equity, over the period in which the performance and/or service conditions are fulfilled in employee benefits expense. The cumulative expense recognised for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The expense or credit in the P&L for a period represents the movement in cumulative expense recognised as at the beginning and end of that period and is recognised in employee benefits expense.

Service and non-market performance conditions are not taken into account when determining the grant date fair value of awards, but the likelihood of the conditions being met is assessed as part of the Group's best estimate of the number of equity instruments that will ultimately vest. Market performance conditions are reflected within the grant date fair value. Any other conditions attached to an award, but without an associated service requirement, are considered to be non-vesting conditions. Non-vesting conditions are reflected in the fair value of an award and lead to an immediate expensing of an award unless there are also service and/or performance conditions.

No expense is recognised for awards that do not ultimately vest because non-market performance and/or service conditions have not been met. Where awards include a market or non-vesting condition, the transactions are treated as vested irrespective of whether the market or non-vesting condition is satisfied, provided that all other performance and/or service conditions are satisfied.

When the terms of an equity-settled award are modified, the minimum expense recognised is the grant date fair value of the unmodified award, provided the original vesting terms of the award are met. An additional expense, measured as at the date of modification, is recognised for any modification that increases the total fair value of the share-based payment transaction, or is otherwise beneficial to the employee. Where an award is cancelled by the entity or by the counterparty, any remaining element of the fair value of the award is expensed immediately through profit or loss.

### 2.26 Significant accounting judgments, estimates and assumptions

The preparation of the consolidated financial statements requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. Uncertainty about these assumptions and estimates could result in outcomes that require an adjustment to the carrying amount of assets or liabilities in future periods. Difference between actual results and estimates are recognised in the periods in which the results are known/materialised.

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Group has based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Group. Such changes are reflected in the assumptions when they occur.

Information about critical judgments in applying accounting policies, as well as estimates and assumptions that have the most significant effect to the carrying amounts of assets and liabilities within the next financial year, are included in the following notes:

(a) Measurement of defined benefit obligations – note 41

(b) Measurement and likelihood of occurrence of provisions and contingencies – note 22

(c) Recognition of current tax and deferred tax assets – note 23

(d) Key assumptions used in fair valuations – note 46

(e) Measurement of lease liabilities and right-of-use asset – note 4

(f) Assumptions and models used for estimating fair value of share-based payment – note 49

### 2.27 Recent Accounting Pronouncements:

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time.

In May 2025, MCA notified amendments to Ind AS 21 - The Effects of Changes in Foreign Exchange Rates, applicable w.e.f. April 1, 2025. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

In August 2025, MCA notified the following amendments to:

1. Ind AS 1, Presentation of Financial Statements, applicable w.e.f. April 1, 2025 – The amendment relates to classification of liabilities as current or non-current and non-current liabilities with covenants. In the context of classifying a liability as current, it removes the requirement of existence of a right to defer settlement for at least 12 months after the reporting date and instead requires that the said right should exist on the reporting date and have substance. The amendment also introduces guidance on classification of liabilities with covenants. The Company has no impact of these amendments in its classification criteria of current and non-current liabilities.

2. Ind AS 7, Statement of Cash Flows and Ind AS 107, Financial Instruments: Disclosures, applicable w.e.f. April 1, 2025 – The amendment in Ind AS 7 requires to inform users of financial statements of the existence of supplier finance arrangements and explain the nature of the arrangements, the carrying amount of liabilities and the range of payment due dates. Ind AS 107 has been amended to add supplier finance arrangements as a factor that may cause concentration of liquidity risk. The Company has reviewed the amendment and based on its evaluation has determined that it does not have any significant impact in its financial statements.

# Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

## Note 39: Non-controlling interests (Contd..)

(₹ in lakhs)

| For the year ended March 31, 2026 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| **Attributable to:** | | | |
| Owners of parent | 11 | (188) | (4) |
| Non-controlling interest | 8 | (82) | (4) |

(₹ in lakhs)

| For the year ended March 31, 2025 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| Revenue | 37 | 1,808 | - |
| Profit/(Loss) for the year | 18 | (449) | - |
| **Total comprehensive income** | **18** | **(449)** | **-** |
| **Attributable to:** | | | |
| Owners of parent | 10 | (314) | - |
| Non-controlling interest | 8 | (135) | - |

### b) Summarized balance sheet

(₹ in lakhs)

| For the year ended March 31, 2026 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| Non-Current Assets | 2 | - | 628 |
| Assets held-for-sale | 98 | 4,789 | - |
| Current Assets | 549 | 636 | 3,793 |
| Non-Current Liabilities | (1,510) | - | (4,199) |
| Current Liabilities | (5) | (1,541) | (230) |
| **Total equity** | **(866)** | **3,884** | **(8)** |
| **Attributable to:** | | | |
| Owners of parent | (507) | 2,719 | (4) |
| Non-controlling interest | (359) | 1,165 | (4) |

(₹ in lakhs)

| For the year ended March 31, 2025 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| Non-Current Assets | 2 | - | - |
| Assets held-for-sale | 98 | 4,365 | - |
| Current Assets | 540 | 636 | - |
| Non-Current Liabilities | (1,510) | - | - |
| Current Liabilities | (9) | (1,275) | - |
| **Total equity** | **(879)** | **3,801** | **-** |
| **Attributable to:** | | | - |
| Owners of parent | (513) | 2,662 | - |
| Non-controlling interest | (366) | 1,139 | - |



# Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

## Note 39: Non-controlling interests (Contd..)

### c) Summarized cash flow statement

(₹ in lakhs)

| For the year ended March 31, 2026 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| Operating | (13) | (122) | (3,231) |
| Investing | 33 | 102 | (605) |
| Financing | - | - | 3,836 |
| **Net increase/(decrease) in cash and cash equivalents** | **20** | **(20)** | **-** |

(₹ in lakhs)

| For the year ended March 31, 2025 | Rado Tyres Limited | CEAT AKKHAN Limited | OHT Ventures (Private) Limited |
|---|---|---|---|
| Operating | (17) | 2,236 | - |
| Investing | 33 | 21 | - |
| Financing | - | (3,369) | - |
| **Net increase/(decrease) in cash and cash equivalents** | **16** | **(1,112)** | **-** |

## Note 40: Interest in Joint Venture

The group has 50% interest in CEAT Kelani Holding (Pvt) Limited, a joint venture incorporated in Sri Lanka. The joint venture entity has wholly owned subsidiaries who are involved in the manufacture of tyres. The Group's interest in CEAT Kelani Holdings (Pvt) Limited is accounted for using the equity method in the consolidated financial statements. Summarized financial information of the joint venture based on its financial statements and reconciliation with the carrying amount of the investment in consolidated financial statements are set out below.

### i) Details of interest held by Company

| Name | Principal activities | Country of incorporation | % of equity interest | |
|---|---|---|---|---|
| | | | March 31, 2026 | March 31, 2025 |
| CEAT Kelani Holding (Pvt) Limited | Manufacturing of tyres | Sri Lanka | 50% | 50% |

### ii) Summarized balance sheet

(₹ in lakhs)

| Particulars | As at March 31, 2026 | As at March 31, 2025 |
|---|---|---|
| Non-Current Assets | 25,568 | 24,470 |
| Current Assets* | 25,573 | 26,861 |
| Non-Current Liabilities | (6,695) | (5,120) |
| Current Liabilities | (10,499) | (12,981) |
| Foreign currency translation differences | 4,053 | 4,686 |
| **Net Assets (A)** | **38,000** | **37,916** |
| Percentage of the Group's ownership (B) | 50% | 50% |
| **Group's share in Net worth [A x B]** | **19,000** | **18,958** |
| Goodwill | 1,516 | 1,452 |
| Revaluation reserve | (3,220) | (3,081) |
| **Carrying amount of investments** | **17,296** | **17,329** |

** Current assets of CEAT Kelani Holding (Pvt) Limited includes Cash & Cash equivalent of ₹ 10,223 lakhs (As at March 31, 2025: ₹ 7,516 lakhs)*

# Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

## Note 40: Interest in Joint Venture (Contd..)

### iii) Summarized statement of profit and loss

(₹ in lakhs)

| Particulars | 2025-26 | 2024-25 |
|---|---|---|
| Revenue | 52,685 | 54,120 |
| Finance Costs | (345) | (468) |
| Depreciation and amortization | (2,370) | (2,163) |
| **Profit before tax** | **5,296** | **7,117** |
| Income tax expenses | (2,136) | (2,773) |
| **Profit after tax (A)** | **3,160** | **4,344** |
| Other comprehensive income | - | - |
| **Total comprehensive income** | **3,160** | **4,344** |
| Percentage of the Group's ownership (B) | 50% | 50% |
| **Profit considered for consolidation [A x B]** | **1,580** | **2,172** |

The Group has no contingent liabilities or capital commitments relating to its interest in CEAT Kelani Holding (Pvt) Limited as at March 31, 2026 and March 31, 2025. The joint venture has no contingent liabilities or capital commitments as at March 31, 2026 and March 31, 2025.

## Note 41: Post-retirement benefit plan

Refer note 2.16 for accounting policy on employee benefits

### a) Defined contribution plan

Refer note 32 for Group's contribution to the defined contribution plans with respect to provident fund and other funds.

### b) Defined benefit plan – Gratuity

#### Description of plan

The Group has a defined benefit gratuity plan which is funded with an Insurance Company in the form of a qualifying Insurance policy. The Group's defined benefit gratuity plan is a salary plan for employees which requires contributions to be made to a separate administrative fund. The gratuity plan is governed by the Payment of Gratuity Act, 1972. Under the act, every employee who has completed five years of service gets a gratuity on separation at 15 days of last drawn salary for each completed year of service.

#### Governance

The fund has the form of a trust, and it is governed by the Board of Trustees, which consists of employer and employee representatives. The Board of Trustees is responsible for the administration of the plan assets and for the definition of the investment strategy. Each year, the Board of Trustees reviews the level of funding.

#### Investment Strategy

The Board of trustees have appointed LIC of India, Birla Sun Life Insurance, India First Life Insurance, Kotak Mahindra Life Insurance & HDFC Life Insurance to manage its funds. The Board of Trustees aim to keep annual contributions relatively stable at a level such that no plan deficits (based on valuation performed) will arise. Every year, the insurance Company carries out a funding valuation based on the latest employee data provided by the Group. Any deficit in the assets arising as a result of such valuation is funded by the Group. In case of death, while in service, the gratuity is payable irrespective of vesting.



Notes to the Consolidated Financial Statements

as at and for the year ended March 31, 2026

## Note 41: Post-retirement benefit plan (Contd..)

**The following set out the amounts recognized in the Group's financial statements as at March 31, 2026 and March 31, 2025.**

#### Consolidated balance sheet

### i) Net Assets/(Liability) as at year end

(₹ in lakhs)

| Sr. No. | Particulars | As at March 31, 2026 | As at March 31, 2025 |
|---|---|---|---|
| 1 | Closing Present value of the defined benefit obligation | 22,122 | 16,699 |
| 2 | Closing fair value of plan assets | 16,776 | 15,320 |
| | **Net Assets/(Liability) recognized in the Balance Sheet** | **(5,346)** | **(1,379)** |

### ii) Change in present value of the defined benefit obligation

(₹ in lakhs)

| Sr. No. | Particulars | As at March 31, 2026 | As at March 31, 2025 |
|---|---|---|---|
| 1 | **Opening present value of defined benefit obligation** | **16,699** | **14,444** |
| 2 | Increase on account of acquisition of Subsidiary* | - | - |
| 3 | Current Service Cost | 2,353 | 1,566 |
| 4 | Interest Cost | 1,432 | 1,042 |
| 5 | Benefits paid | (1,622) | (1,066) |
| 6 | Acquisition adjustment (Transfer out) | - | (31) |
| 7 | Remeasurement (Gain)/Loss in other comprehensive income | | |
| | - Change in demographic assumptions | (3,673) | - |
| | - Actuarial changes arising from changes in financial assumption | (245) | 713 |
| | - Experience adjustments | (1,011) | 31 |
| 8 | Past service cost | 5,194 | - |
| 9 | Acquisition of business (refer note 52) | 2,995 | - |
| | **Closing present value of defined benefit obligation** | **22,122** | **16,699** |

### iii) Changes in fair value of plan assets

(₹ in lakhs)

| Sr. No. | Particulars | As at March 31, 2026 | As at March 31, 2025 |
|---|---|---|---|
| **1** | **Opening fair value of plan assets** | **15,320** | **14,230** |
| 2 | Expected return on plan assets | 1,063 | 1,024 |
| 3 | Contributions made | - | - |
| 4 | Benefits paid | (1) | - |
| 5 | Return on plan assets, excluding amount recognised in net interest expense | 394 | 66 |
| | **Closing fair value of plan assets** | **16,776** | **15,320** |

The Group's gratuity funds are invested through insurers